

World in Brief: Iran threatens to keep Hormuz shut; American inflation slows



Photograph: Getty Images

The new head of **Iran's** Supreme National Security Council said the **Strait of Hormuz** would not reopen until America “changes its behaviour” and accepts Iran’s [conditions](#) for ending the war, according to Iranian state media. Meanwhile attacks on shipping escalated: on Tuesday America said it had struck a cargo ship entering the Gulf of Oman, while Iran-backed Houthis attacked one in the Bab al-Mandab strait.

American inflation slowed to 3.5% to 3.4% in July, in line with analysts’ expectations. Core inflation, which excludes food and energy prices, slid from 2.6% to 2.5%. The Federal Reserve has faced calls to [raise interest rates](#) in response to inflationary pressures caused by the Iran war. The data will buoy Donald Trump, who continues to demand lower rates.

Francesca Hong, a progressive, narrowly lost to David Crowley, a moderate, in the **Democratic** primary for governor of Wisconsin, ending the [populist left's winning streak](#). Ms Hong had been ahead in polls. In Minnesota Peggy Flanagan, another progressive, won the Democratic nomination for Senate. In the Republican primary for Minnesota governor, Lisa Demuth defeated Mike Lindell, an election denier and pillow magnate endorsed by Mr Trump.

Foxconn, a Taiwanese electronics manufacturer, reported second-quarter profits of T\$60bn (\$1.86bn), a 35% rise on the same period last year. The company said it expected strong AI demand to continue to drive growth throughout 2026. Cloud-computing infrastructure and networking gear, which include AI servers, accounted for more than half of Foxconn's second-quarter revenue for the first time.

Natarajan Chandrasekaran, the chairman of **Tata Sons**, said he will step down after his term ends in February. The board of [India's largest conglomerate](#) has been arguing for months over whether to reappoint Mr Chandrasekaran, with one member refusing to approve an extension. It is a bad time for the ship to be rudderless—Tata Sons was about to expand, including into semiconductor manufacturing.

Chuck Schumer, the leading Democrat in America's Senate, demanded Congress be briefed on a **covert mission** to smuggle Mr Trump out of Turkey last month. The president reportedly used a catering truck to reach a military jet following an Iranian assassination threat. Lawmakers thought he was travelling on Air Force One. "It is unacceptable that Congress...learned about this serious threat through press reports," Mr Schumer said.

Zhu Rongji, China's prime minister between 1998 and 2003, died aged 97. Famous for his blunt manner, Mr Zhu slashed bureaucracy, battled corruption and implemented economic reforms that propelled China's rapid growth under President Jiang Zemin. He also oversaw its accession to the World Trade Organisation in 2001, which helped it become a trade superpower.

Figure of the day: 90%, the proportion of American Gen Zs that went to the cinema in 2025, more than any other generation. Read about why they [have rediscovered their love for the movies](#).

US in brief: an upset in Wisconsin



Photograph: AP

David Crowley unexpectedly beat **Francesca Hong** in the Democratic primary for governor in **Wisconsin**. According to polls Ms Hong, a Democratic socialist, had seemed likely to continue the left's winning streak. But Mr Crowley picked up late support from other candidates and consolidated the vote against Ms Hong, who had spooked centrists with past comments such as a call to cancel Thanksgiving (which she recanted). Mr Crowley will face Tom Tiffany, the Republican winner, in the much-watched swing state.

In **Minnesota** the progressive Democrats picked up a win as Peggy Flanagan, the lieutenant governor, beat Angie Craig in a Senate primary. Ms Flanagan supports Medicare for all and wants to “rip ICE apart” after the immigration agency’s violent and aggressive enforcement campaigns in her state. In the Republican primary for governor **Mike Lindell**, founder of MyPillow and an indefatigable supporter of Donald Trump’s claims that the 2020 election was stolen, lost to Lisa Demuth, the speaker of the state’s House of Representatives.

Darline Graham reached the Republican runoff for Senate in South Carolina. The sister of **Lindsey Graham**, who died unexpectedly last month and previously held the position, was appointed temporarily to his seat and is running to keep it. She will face Ralph Norman, a House member and a leader of the hardline

Freedom Caucus. The winner is likely to keep Republican control of the seat in the conservative southern state.

The Trump administration rescinded a ban on **TikTok** from government devices, according to a memo signed on Monday and released on Tuesday. The Justice Department recently determined that such restrictions, passed during the Biden administration, no longer apply to TikTok, because its Beijing-based owner has since created a new [American version of the app](#) and reduced its stake in it to 19.9%. The White House frequently uploads videos to more than 7m followers on the platform.

America's murky economic indicators



Photograph: Alamy

The Federal Reserve has two mandates: to keep people in employment and to keep prices stable. There have recently been worries about these goals pulling against each other. Inflation is above the 2% target, suggesting an interest-rate hike is in order, while the jobs market is showing signs of cooling, an argument for holding steady. Last week's announcement of an unexpected fall in July's jobs' figures tempered expectations that the Fed might raise rates when it next meets in September. Consumer-price data for July, released on Wednesday, eased the pressure further.

The increase of 3.4% compared with last year was bang on economists' expectations. At 2.5% core inflation, which strips out food and energy, was too. None of this guarantees that the Fed won't act: its own inflation gauge, the PCE price index, is running hotter. Inflation figures released before the September meeting will therefore be watched extremely closely. If price pressures ease and employment continues to weaken, the Fed may be able to avoid raising rates, and provoking Donald Trump.

Europe plunges into darkness



Photograph: Getty Images

Parts of Europe will see their first total eclipse of the sun since 1999 on Wednesday. More than 400,000 visitors are expected to flock to the path of totality, from which the whole star is obscured. Unlike a lunar eclipse, in which Earth's shadow on the Moon can be seen wherever the Moon is visible, a solar eclipse, in which the Moon throws its shadow onto Earth, is visible only briefly from places along this narrow geographical band.

This eclipse begins at the Taymyr peninsula in Siberia, crosses the Arctic Ocean, makes landfall over Greenland, Iceland and Spain, and ends in the Mediterranean. It has a maximum totality of 138 seconds, but only off the coast of Iceland. For viewers in Spain, where the weather forecast is most propitious, totality will happen around 8.30pm, local time, with the eclipsed sun low on the western horizon.

Google hones its phones for AI

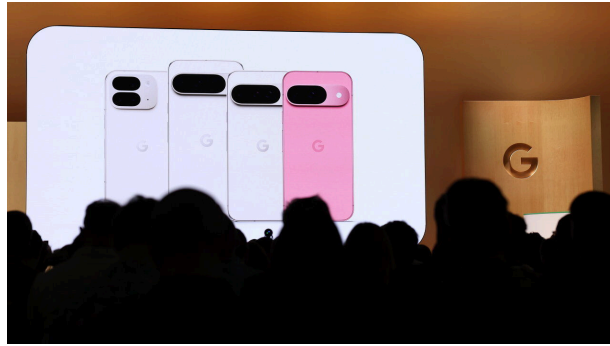


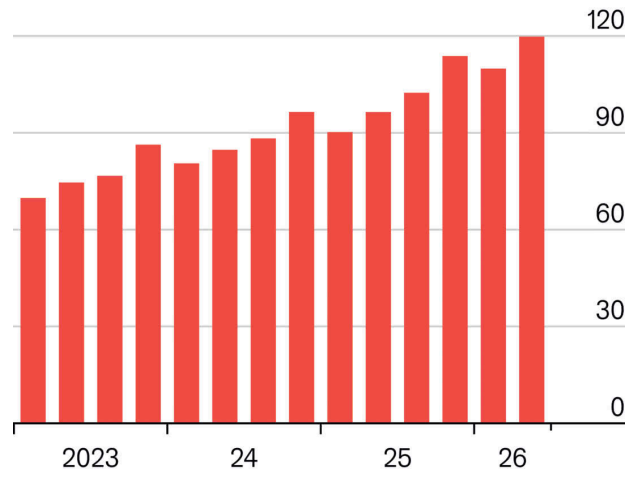
Chart: Getty Images

Google will unveil the latest generation of its Pixel smartphones on Wednesday. Expect the tech giant to boast about their artificial-intelligence capabilities. Google was among the first to run AI models directly on users' devices, answering many queries faster and more securely than if they were processed by data centres. This is an increasingly valuable niche as hardware and small AI models become more powerful. Even Apple, a longtime rival, has signed up to use Google's models in its devices.

But prices are getting steeper as phones get smarter. Google's new Pixels will probably cost about \$100 more than last year's equivalents. (Samsung, another rival, recently increased the price of its Galaxy smartphones by similar amounts.) The cost of the memory chips they use doubled between late 2025 and early 2026, as AI infrastructure gobbled up capacity. Some American tech companies have reportedly lobbied the government to ease restrictions on buying [Chinese chips](#). In the meantime, customers upgrading their smartphones may be dumbfounded by the price.

AI-flation

Alphabet, revenue, \$bn



Source: LSEG Workspace

America's fast-food chains catch an illness



Photograph: Reuters

Ordering a salad in a restaurant is normally the healthy choice. But America is in the middle of a nasty outbreak of cyclosporiasis, a parasitic infection that spreads through food and water, causing nausea and diarrhoea. This particular scourge began in some iceberg lettuce grown in Mexico and sold in America by Taylor Farms, a big food distributor. The Centres for Disease Control and Prevention, America's public-health body, has received more than 10,000 reports of cases since May.

That has been bad news for both salad-sellers and salad-eaters. The first reports of the illness were linked to Taco Bell, a [fast-food chain](#) that sprinkles shredded lettuce on lots of its dishes. Its parent company said same-store sales have dropped by 2% during the quarter to date as a result. Chains not publicly linked to the outbreak have also suffered. Sweetgreen, a salad spot, recently slashed its annual sales projections due to consumer worries about fresh produce, even though it does not serve iceberg lettuce.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Who directed the first two Harry Potter films?

Tuesday: Which London landmark, designed by Sir George Gilbert Scott, features sculptures representing four continents, and four arts and sciences, as well as of the central figure it is named after?

*The true method of knowledge is
experiment.*

William Blake